

SECTION A – CASE QUESTIONS (Total: 50 marks)

Answer **ALL** of the following questions. Marks will be awarded for logical argumentation/ calculation and appropriate presentation of the answers.

CASE

Successful Restaurant Group ("SRG") has been operating a few reputable Chinese restaurants in Hong Kong for years. It is well known for its dine-in Chinese cuisines that offer high quality dishes and catering services that attract customers who are willing to pay premium prices for luxurious dining experiences. SRG has been listed on the Hong Kong Stock Exchange for ten years. All directors of SRG have been working in the catering industry for years, and the business of SRG has grown significantly in recent years due to the increase of local consumption and visitors from mainland China. SRG has set up a simple website to promote its organisation and catering businesses.

Despite the strong growth over the years, SRG's revenue and profitability have dropped by 50% and 80% respectively in the last year, because the government has imposed stringent rules on the numbers of customers and on dine-in hours after the outbreak of the COVID-19 pandemic. The surging unemployment rate and uncertain economic forecast have been affecting the spending behaviours and attitudes of customers who tend to reduce spending on food and entertainment during the pandemic. Customer behaviour has also changed to buying or ordering take-away meals instead of dining-in at restaurants, to avoid being infected. The surge in demand of take-away meals has also sped up the digitalisation in the catering industry. Restaurants have set up websites and mobile applications for customers to place orders online, and digital menus have been used for customers to order food in restaurants. This trend has been affecting SRG because all of its restaurants have been focusing on dine-in catering services, while digital menus and ordering systems, and mobile applications have not been used by SRG before. Previously, take-away businesses only accounted for 2% of the revenue of SRG because customers wanted to enjoy the food and atmosphere of the catering services in SRG's restaurants. During the pandemic, new regulations on food hygiene and air quality were imposed on dine-in businesses in the catering industry that created additional costs for SRG to meet all these new requirements.

With tremendous growth in the take-away businesses, environmental interest groups have been complaining about the increased use of plastic containers, and there has been pressure on catering businesses to replace plastic containers with more expensive environmentally friendly food containers for take-away meals. Due to the adverse impact of the pandemic, the government has provided additional subsidies to the catering industry which are subject to independent review by external auditors and the government. The amount of government subsidy is calculated based on the size of the restaurant and the number of full-time employees employed by each restaurant. Since SRG has employed a large number of part-time employees during peak seasons, such as Christmas and Chinese New Year, one of the directors proposes to count these part-time employees as full-time employees so that SRG could obtain more subsidies from the government, which could then help to improve cash flow of the restaurants immediately. Even though SRG has been trying to minimise operating costs, the dine-in Chinese cuisine business of SRG has been deteriorating continuously. Therefore, the board of directors is considering offering new Chinese cuisine take-away and

delivery services to customers. This will entail the digitisation of the ordering processes of SRG by using digital menus and an online ordering system on a new website, and through mobile applications. These proposals have been criticised by a few shareholders as they are afraid the proposals would reduce their dividend payments. They also think that the proposals contradict the traditional high-end dine-in Chinese cuisine culture and may not be well accepted by existing customers. Moreover, digitalisation would require heavy investment that could worsen SRG's profitability and liquidity issues even though SRG currently has no borrowings. SRG would also need to revise the food menu, which may affect choices and quality. Furthermore, food prices would normally be discounted in take-away orders, which would reduce further the profit margin of the business. Shareholders are also worried that the brand name and reputation of SRG would be adversely affected due to the take-away businesses.

The board of directors has asked the chief financial officer ("CFO") to appoint a consultant to gather information and prepare a proposal about these new initiatives for the board. Based on the recommendation of the consultant, SRG needs to invest HK\$2 million in computer hardware and software to build the online take-away ordering system for restaurants in the group. The system can be used for five years and will depreciate evenly during this period with no residual value. Since the online take-away business is new to SRG, SRG has decided to start the take-away business in a small scale. It is expected that the net profit for the first year will be HK\$300,000 with an annual growth rate of 40%, and the growth rate of cash flow will be 30%. The weighted average cost of capital is 25%, and the required rate of return of shareholders is 40%. Based on similar projects done before, shareholders want to recover the cost of investment in two years. The above estimation has not taken into account an annual system maintenance fee payment of HK\$100,000 payable by the SRG directly to the system vendor at the end of each year.

SRG has been managing its catering business in a conservative and traditional way, and has surplus cash to pay dividends to shareholders for years. There has been no debt liability, with the exception of the occasional bank overdraft for short term business needs. The new take-away business and digitalisation of ordering processing initiatives require additional financing for implementation. Moreover, the liquidity of SRG has been deteriorating and requires additional financing to continue the business even though the shareholders and some directors are not familiar with the available methods to finance the business. Existing shareholders expressed in the annual general meeting that they do not want any dilution in ownerships of investments and reduction in dividend payments.

Question 1 (15 marks – approximately 27 minutes)

As the pandemic has changed the business environment for SRG, the board of directors wants to understand the changes and impacts of environmental factors on the business in the short and long term. Acting as CFO of SRG and as a certified public accountant ("CPA"), you are asked to:

- (a) Apply the most suitable strategic model to conduct a business environment analysis and report findings to the board of directors in the coming meeting.
(10 marks)
- (b) Identify the ethical issues and propose a response to the suggestion proposed by the director on the application of government subsidy.
(5 marks)

Question 2 (10 marks – approximately 18 minutes)

The board of directors agrees that it is necessary to start the take-away business and to digitalise the ordering processes to revitalise SRG's business. Recommend and explain how the board of directors can implement these changes successfully in SRG by using the most suitable change management models.
(10 marks)

Question 3 (15 marks – approximately 27 minutes)

Using various quantitative project appraisal techniques, evaluate and advise whether SRG should invest in the online take-away ordering system.

Note: A maximum of 2 marks for analytical skills will be awarded.

(15 marks)

Question 4 (10 marks – approximately 18 minutes)

Advise the appropriate theory and framework regarding sources of financing that SRG could use to raise financing for the new take-away business and evaluate financing alternatives available to SRG.

(10 marks)

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End of Section A

SECTION B – ESSAY / SHORT QUESTIONS (Total: 50 marks)

Answer **ALL** of the following questions. Marks will be awarded for logical argumentation/ calculation and appropriate presentation of the answers.

Question 5 (18 marks – approximately 32 minutes)

High One Property Development Limited ("the Company") is a property developer listed on the Main Board of the Hong Kong Stock Exchange focusing on property development in major cities in Asia, including Hong Kong, Shanghai and Singapore. The Company has a property development project which requires an additional HK\$400 million in funding for five years, and the Company is considering raising additional funds to finance this project. The financial advisor engaged by the Company has provided the Company with the following 2 proposals:

1. To issue 400,000 redeemable debentures with a face value of HK\$1,000 each to the public. The debenture will pay a 5% p.a. fixed coupon annually in arrears with a maturity of five years and the debentures would be redeemed at par on maturity. The comparable market interest rate (before tax) on debentures with similar risk is 7% p.a.
2. To issue a five-year convertible bond for HK\$400 million to the public. The bond will pay interest of 4% p.a. annually, and there is an option to convert the bond into 10 million ordinary shares of the Company's same class of the share, which is currently listed on the Hong Kong Stock Exchange, upon maturity. The current share price of the Company is HK\$30 per share, and the share price is expected to be converted at HK\$42 after five years. Similar convertible bonds are being traded with a yield to maturity before tax of 7% p.a.

The tax rate is 16.5%.

Required:

- (a) Calculate the fair value of the above proposals using the discounted cash flow method and recommend which proposal is more beneficial to the Company.
(8 marks)
- (b) Besides considering the fair value of each proposal, advise on any other qualitative considerations for Proposal 2.
(5 marks)
- (c) Advise on the regulatory framework for each proposal and the requirements, such as the respective approval and conditions, for each proposal.
(5 marks)

Question 6 (14 marks – approximately 26 minutes)

Rainbow Limited ("Rainbow") is a multinational corporation based in France specialising in fashion products including leather goods such as handbags, luggage, accessories, and ready-to-wear. The major spending of Rainbow is involved in product design and brand building, which is mainly paid in Euro, and Euro is Rainbow's functional currency. Rainbow outsources its production to Original Design Manufacturers ("ODM") in Italy. Rainbow is new to Asia and has started selling its products through local distributors in Japan.

Rainbow bills its local distributors in Japanese Yen with credit terms of 90 days, and the Japanese Yen received by Rainbow will be converted to Euro immediately. Rainbow has not hedged any foreign exchange risk in the past; however, sales have been very good recently, and the receivable balance has become JPY129 million, which will be received after 3 months. The treasurer is considering the exposure and is looking for hedging opportunities. Below is a summary of the market information and offers from banks.

EUR/JPY at spot (Current exchange rate for buying EUR and selling JPY)	129.00
Exchange rate forecast by banks	
• 3-month EUR/JPY forecast (for buying EUR and selling JPY) provided by Bank A	131.00
• 3-month EUR/JPY forecast (for buying EUR and selling JPY) provided by Bank B	134.00
Forward and Option quote from markets	
• 3-month forward contract (for buying EUR and selling JPY)	132.00
• 3-month call option (to buy EUR and sell JPY) strike at 129 - option premium	2.42 %
• 3-month call option (to buy EUR and sell JPY) strike at 132 - option premium	1.07 %

Required:

- (a) Assume that the 3-month forecast provided by Bank A is accurate, i.e., the exchange rate of EUR/JPY after 3 months is 131. Ignoring any interest rate effect, analyse (and supported with calculations) the financial implications in Euro of the following alternatives:

- (i) Without any hedging;
- (ii) Hedging the whole receivable balance by buying the 3-month call option strike at 132.

(4 marks)

(b) The treasurer is challenged by Rainbow's management that the hedging cost is too high compared with the foreign exchange loss. The treasurer disagrees as the exchange rate is hard to forecast and the advantage of hedging is to limit risk and exposure. The treasurer plans to run a simulation to demonstrate to the management the financial impact if the exchange rate forecast from Bank B is accurate (i.e., the exchange rate of EUR/JPY after 3 months is 134 instead of 131). Ignoring any interest income, analyse the financial implication in Euro of the following alternatives and advise Rainbow on what will be the preferred option:

(i) Without any hedging;

(ii) Hedging the whole receivable balance by entering into the 3-month forward contract; and

(iii) Hedging the whole receivables balance by buying the 3-month call option strike at 132.

(6 marks)

(c) The treasurer believes a forward contract is more preferable compared to a call option. Without referring to the calculations above, justify the treasurer's comment.

(4 marks)

Question 7 (12 marks – approximately 22 minutes)

Blanche Cosmetic Limited ("Blanche") is a domestic cosmetic retailer that has been based in Hong Kong for over 30 years. Blanche has been very successful over the past 20 years and is known for distributing various famous cosmetic brands. Blanche has built a strong, trustworthy relationship with its customers and was elected by the tourists in the Asia Pacific region as the most popular cosmetic retailer in the region, with 80% of sales coming from tourists. In recent years, e-commerce has become more and more popular, and so Blanche has set up an e-commerce business division and has invested a significant amount to build the IT infrastructure as well as the online platform for this new e-commerce business.

The CFO of Blanche, Teddy, would like to implement a systematic performance measurement mechanism for Blanche. He has preliminarily explored two models – Balanced Scorecard and Performance Pyramid – and is considering which model is more suitable to measure and link to Blanche's financial strategy for the new e-commerce business. Teddy has approached a business consultant, Keith, to obtain further advice.

Required:

- (a) **Acting as Keith, prepare an email to the CFO of Blanche to compare and contrast Balanced Scorecard and Performance Pyramid as performance measurement mechanisms of the financial strategy for Blanche's new e-commerce business, and recommend two financial performance measures to be used under the suggested mechanism.**

Note: A maximum of 2 marks for communication skills will be awarded.

(7 marks)

- (b) **Teddy is considering setting up a new legal entity for the e-commerce business. List TWO pros and cons regarding this initiative and two criteria to be considered in making this decision.**

(6 marks)

- (c) **The divisional head of the e-commerce division would like to use big data to support the growth of its business. Advise on how Blanche could use social media harvesting to support its e-commerce business and highlight its benefits.**

(5 marks)

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